WASHINGTON SQUARE RESEARCH PARTNERS

BROADCOM®

Ticker : **AVGO US Equity**

Spot Price : $399
A **NASDAQ** Listed Firm
Sector: Semiconductor & Software

BUY

Target : $475
+19% upside

WS

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Investment Thesis At-a-Glance

AI thesis is real & multiple is defensible	Customer concentration is a real risk but rapidly diversifying	Margins are the upside surprise	Competitive moat wider than market gives credit	Six methods triangulate to $475
6-customer XPU franchise; 22x forward P/E	Google falls from 45% to 33% by FY27	Gross margin guided flat 77% through FY27	18-month design lead over COT (Zebrafish)	Modestly above Street median ($460)

Business Overview

Semiconductor Solutions

- Scale: $40.0B (62% of FY25 Rev)
- Products: Custom AI accelerators (XPUs), networking silicon, wireless, broadband, storage.
- AI Shift: Cyclical legacy business transformed by $24B annualized AI run-rate (growing 100%+ YoY).

Infrastructure Software

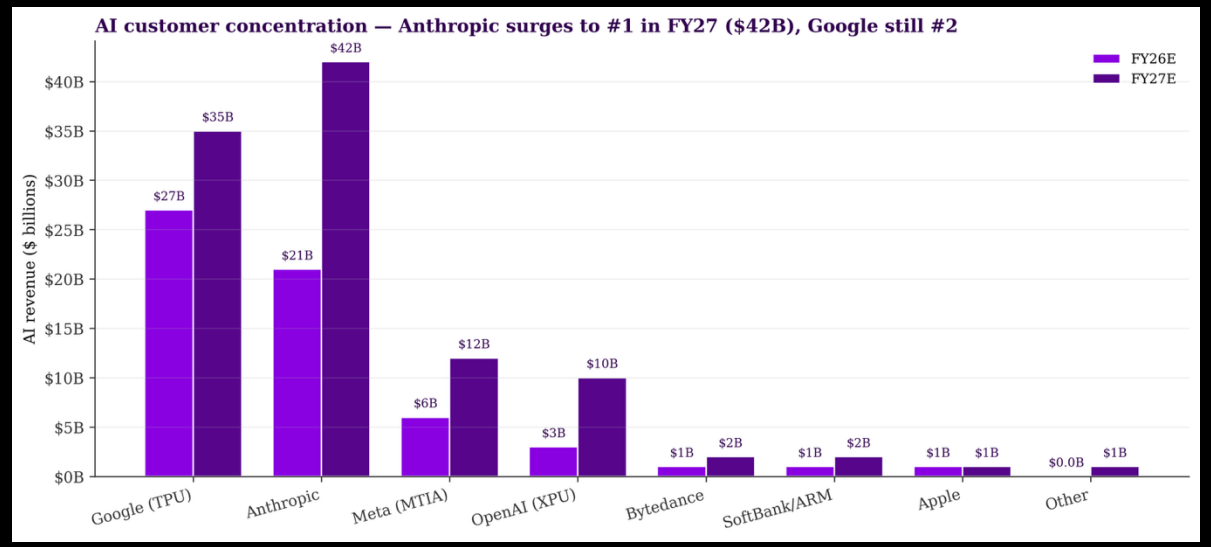
- Scale: $23.9B (38% of FY25 Rev)
- Products: VMware Cloud Foundation, Symantec, CA mainframe.
- Economics: 92%+ gross margin subscription model.

The Broadcom Playbook (Hock Tan, CEO since 2006):
Serial M&A → Strip overhead → Re-price to top enterprises. (5Y Rev CAGR: 23.5%)

The AI Customer Story

Six Committed XPU Customers:

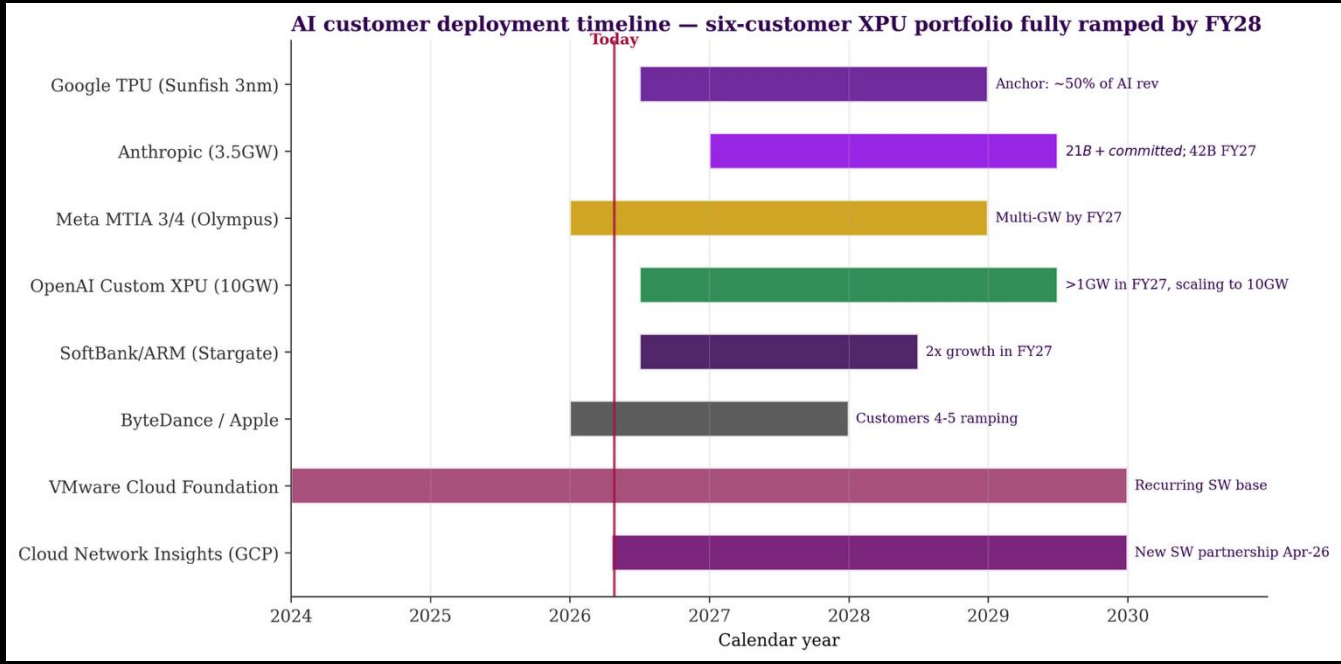
- **Google (TPU):** The anchor program ($27B → $35B in FY27).
- **Anthropic:** Explodes to $42B in FY27 via Google Cloud (largest contributor).
- **Meta (MTIA):** Extended through 2029 (multi-GW).
- **OpenAI:** 10-GW co-design deal ($3B → $10B).



Management's FY27 "$100B+" AI revenue guide is fully supported by the XPU portfolio effect

Recent Strategic Catalysts

- **Oct 2025:** OpenAI 10-GW custom XPU partnership
- **Apr 2026:** Anthropic 3.5-GW 3-way deal via Google Cloud.
- **Apr 2026:** Meta MTIA extended through 2029



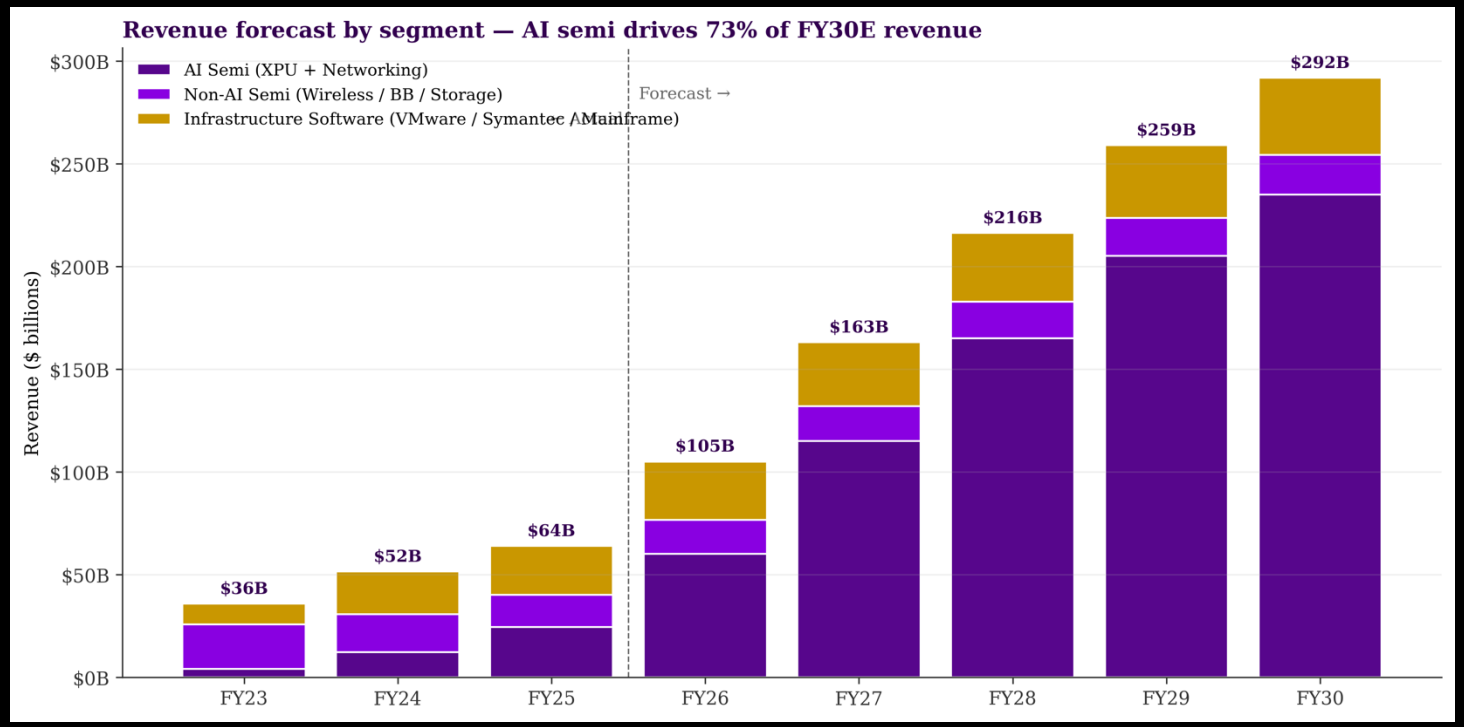
Financial Trajectory

Top-Line Growth (41% AI CAGR)

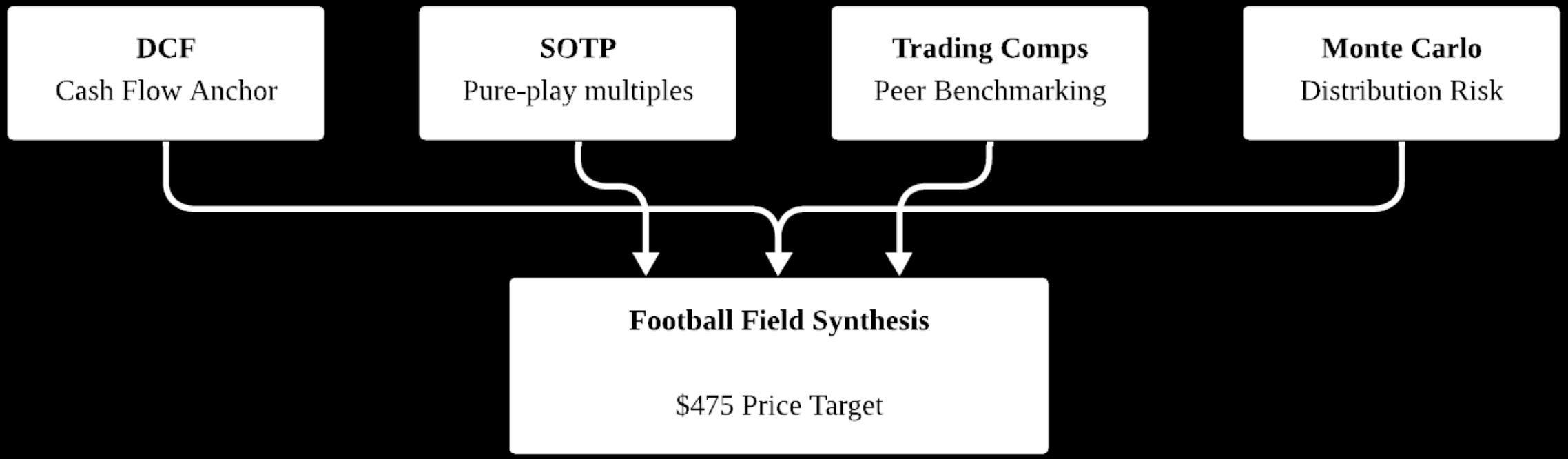
- FY26E: $105B (+64% YoY)
- FY27E: $163B
- FY30E: $ 292B

Margin Expansion

- EBITDA expands from 67.7% today to 72% by Fy2030
- Reversal of rack-scale margin warning was the largest Q1 positive surprise.



Valuation Framework Overview



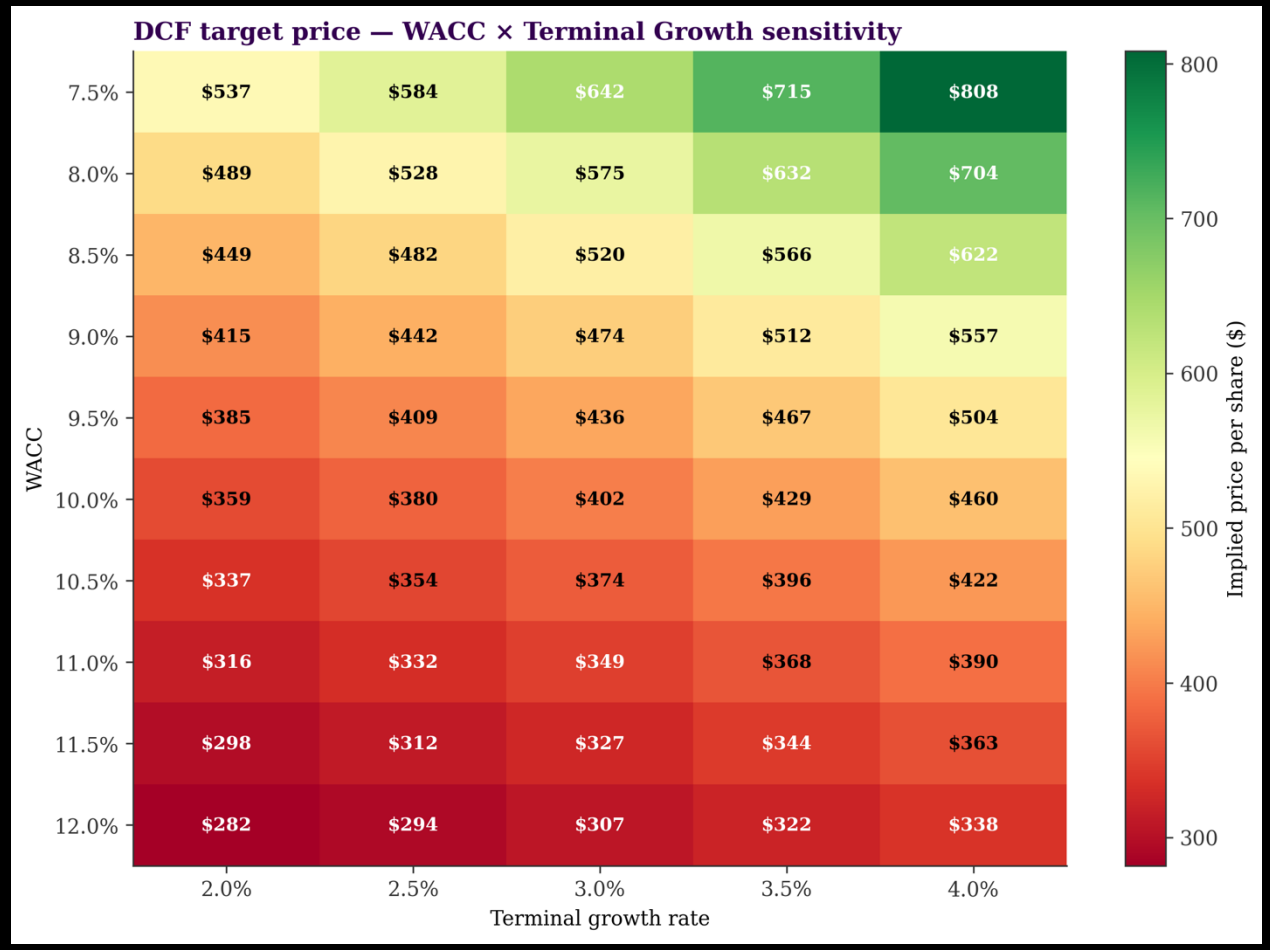
DCF

WACC Build (9.50%)

- R_f : 4.31% (10Y T-Note)
- ERP: 5.0%
- Beta: 1.20 (2Y weekly)
- Cost of Debt: 5.0% (pre-tax)
- Terminal Growth: 3.0%

Result

- Base Case: $436 per share.
- Sensitivity: $402–$474 range at ±50bps WACC.
- Caveat: Terminal value is 80% of EV.



SOTP & Comps

Sum-of-the-Parts (Mid: $401)

Segment	Mult	Val ($)
Semi (EBITDA 62%)	20x	$321
Software (EBITDA 77%)	17x	$482
Implied Price		**$ 401**

Separates hardware (NVIDIA/AMD comps) from mature SaaS

Trading Comps (Fwd P/E Mid: $414)

Multiple	Ratio	Val ($)
Fwd P/E (on $18.83)	22x	$414
Implied Price		**$ 414**

- Peer median Fwd P/E is 28.3x; we apply a conservative 22x.
- Peer median EV/EBITDA skewed by AMD/MRVL (31.8x).

Both relative methods cluster between $400 and $440, supporting the DCF base case.

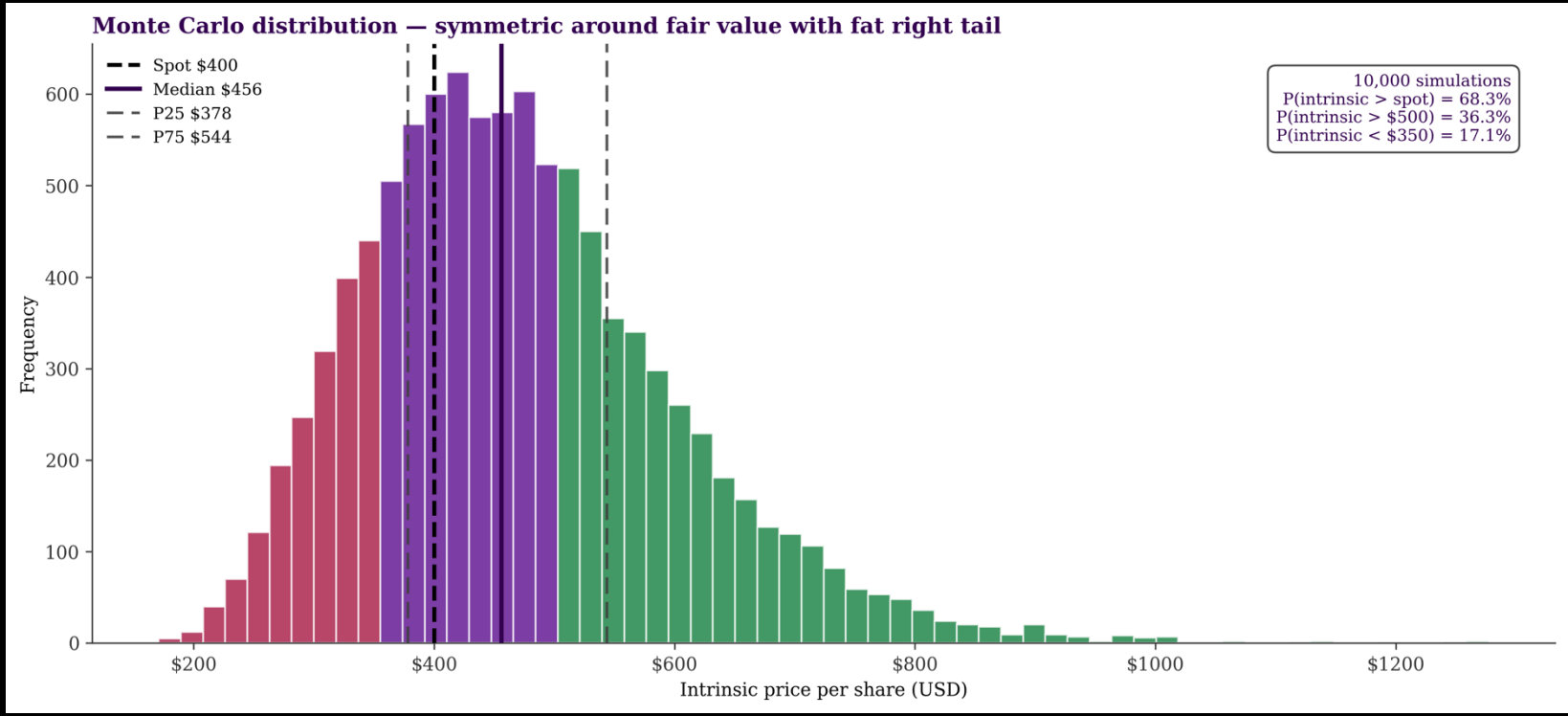
Monte Carlo

10,000 Paths with 6 Inputs

- **FY27 AI Rev:** Normal($125B, $25B) - Anchors on Street median.
- **Terminal g:** Normal(3.0%, 0.5%)
- **WACC:** Normal(9.5%, 0.5%)

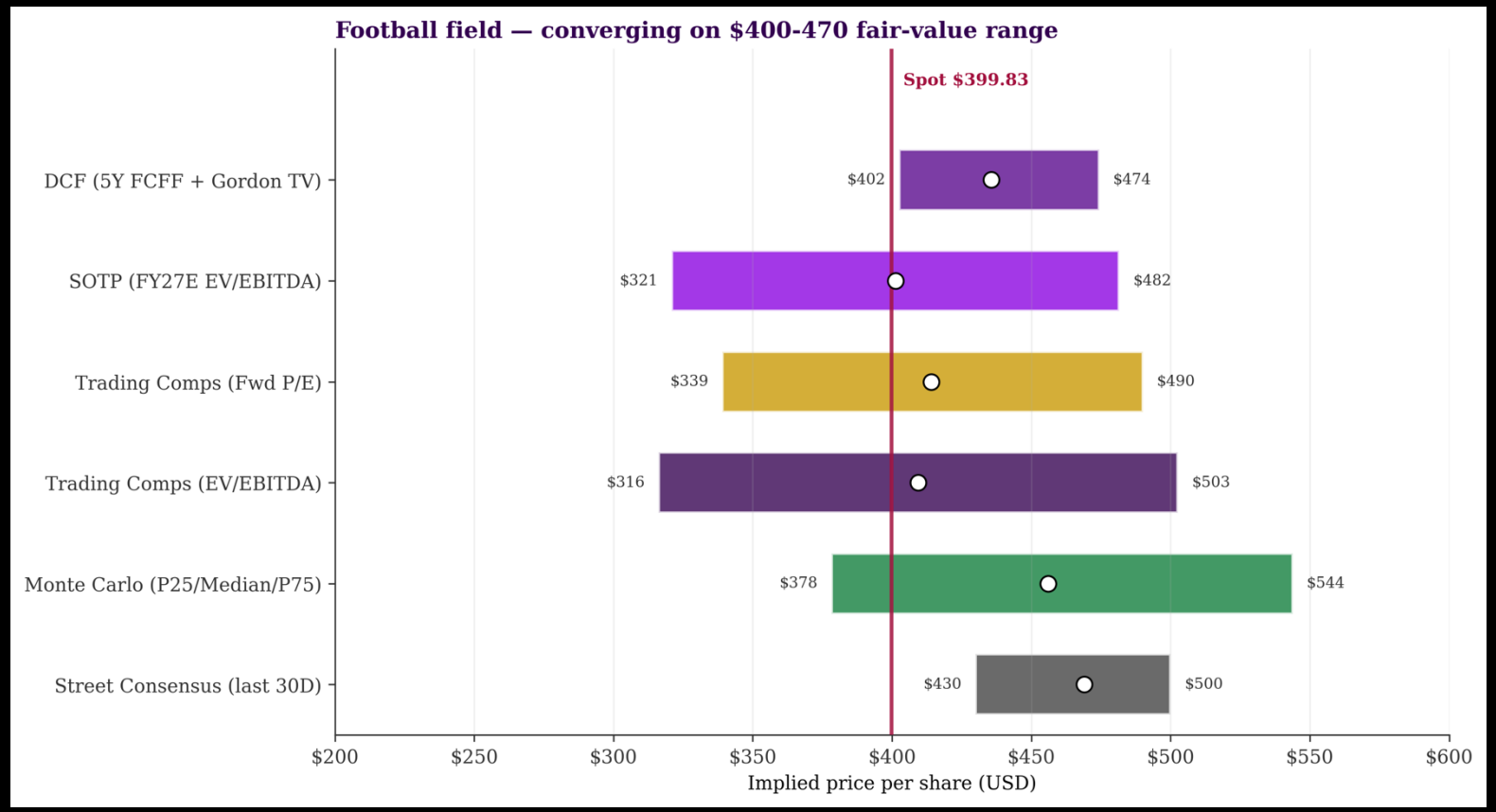
Result

- Mean: $471
- P25 / P75: $378 / $544
- Probability > Spot: **68.3%**



Football Field Synthesis

- **Ranges:**
  - DCF: $402–474
  - SOTP: $321–482
  - Comps Fwd P/E: $339–490.
- **Convergence:**
  Six methods cluster in the $400–$510 range.
- **Conclusion:**
  $475 PT anchors on the Monte Carlo mean ($471) plus right-tail premium



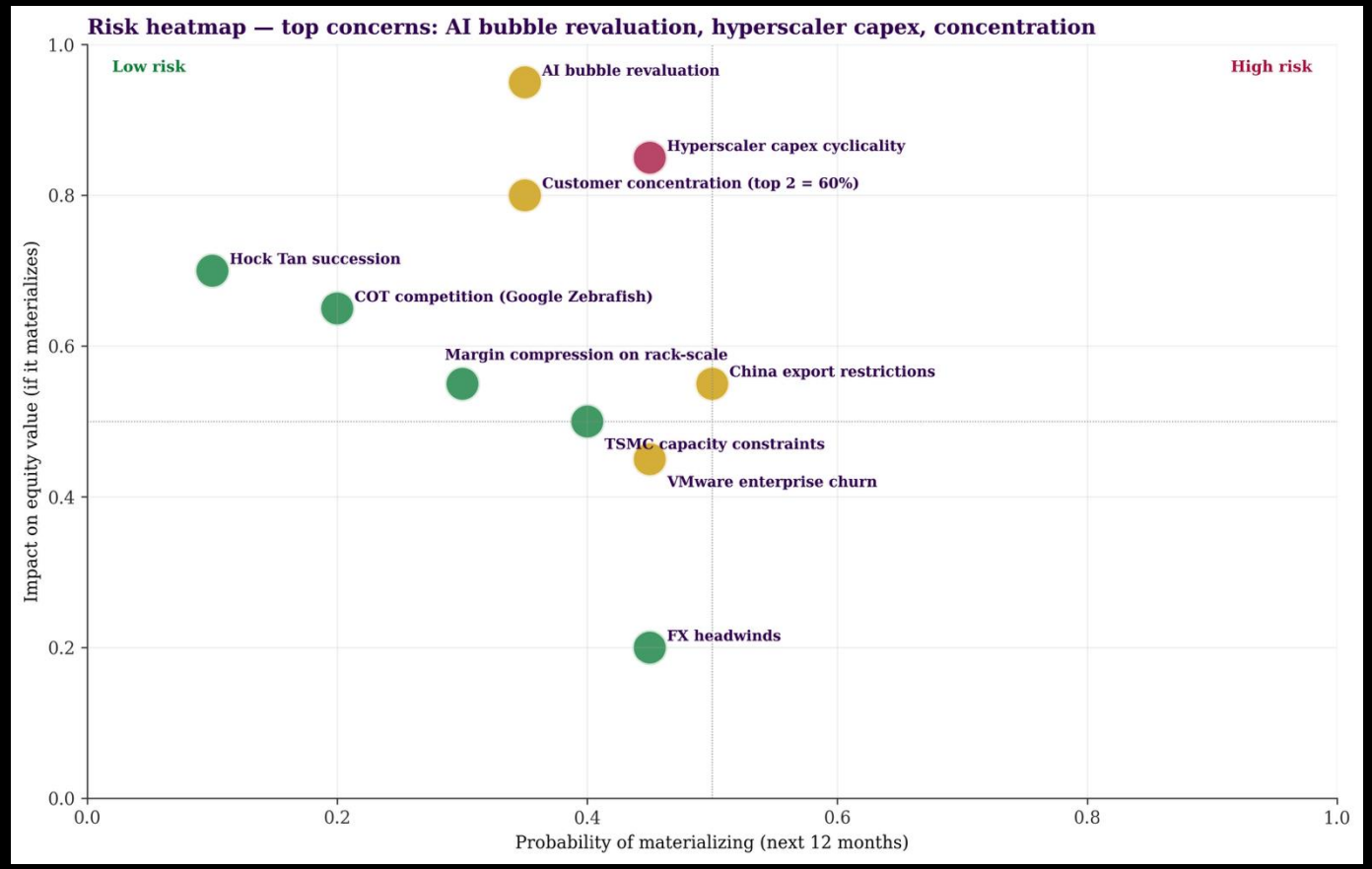
Risk Framework

Top-Right Risks (High Prob/Impact)

- **Hyperscaler Capex:**
  Coordinated Google/Meta/MSFT pullback compresses multiple and revenue (30% downside modeled).

- **Customer Concentration:**
  Google + Anthropic ~60% of FY27 AI mix.Beta: 1.20 (2Y weekly)

- AI Bubble Revaluation:
  AVGO highly exposed to multiple compression given 80% terminal value share.



Catalyst Calendar & What would change our view?

Date	Catalyst Event
5-Jun-2026	Q2 earnings — AI revenue actuals vs. $10.7B guide.
H2-2026	TPU Sunfish 3nm volume ramp + OpenAI rack deployments.
4-Sep-2026	Q3 earnings — First framing commentary on FY27.
Dec-2026	Q4 + FY27 Guide — Critical print to validate $100B+ AI floor.

What would move us off BUY:
Spot breaks $475 | FY27 AI guide < $100B | Google share-loss to Zebrafish

Recommendation Summary

Broadcom Inc. (AVGO)

BUY | $475 PT | +19%

68.3% probability of upside vs. $399.83 spot

Top Catalyst: Dec-2026 FY27 Guide | Top Risk: Hyperscaler Capex

Q&A

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